MalikTrades

THE PROP PLAYBOOK

Trading prop firms as a business

VP ACADEMY · 09

THE MINDSET

A Business, Not a Bet

How to think about prop firms before you buy a single evaluation.

Most traders treat an evaluation like a lottery ticket: buy one, hope it passes, and feel crushed when it doesn't. Treat the prop firm game **strictly as a business** instead. You have a product that works, which is your edge, and prop firms let you put it to work on their capital.

IN A BUSINESS	IN YOUR PROP BUSINESS
Your product	Your edge: 3–4 setups a session, a 65–70% win rate and 1:1 targets.
Startup costs	Evaluation fees. Every business spends money before it makes money.
Revenue	Payouts from your funded accounts.
Risk management	Breakeven at 75%, a loss cap on every account, and sizing by stars.
Bookkeeping	The Prop Tracker: costs, drawdown floors and payouts, account by account.
Scaling up	Running 2–3 accounts at once, so none of your setups go to waste.

KEY TAKEAWAY

A business owner doesn't quit because one month had costs. Judge your prop business on the whole picture, not on one evaluation.

THE MINDSET

Why the ROI Is So High

Small, fixed costs against a much bigger upside.

In most businesses you need thousands to get started, and you can lose a lot more than you put in. With a prop firm, your cost is the evaluation fee. That's the most you can lose on an account, and a single payout can be many times that.

EXAMPLE	COST	PAYOUT	RETURN
One evaluation passes and pays out	**$50**	**$1,000**	**20× your money**
You blow 3 evaluations for every 1 that pays	**$200**	**$1,000**	**5× your money**

Illustrative numbers only. Fees and payouts vary by firm and change often, so check the current prices and count every fee (evaluation, activation, resets) as a cost.

Even when most evaluations fail, a business with costs this small and returns this big stays profitable. That's why the real question is never "did this one evaluation pass?" It's "am I net positive across all of them?"

WHERE TO START: APEX

Apex is the cheapest option on the market and a good starter firm. Low evaluation fees keep your startup costs down while you get your first payouts.

KEY TAKEAWAY

Your downside per account is the fee. Your upside is every payout after it.

THE SETUP

Choosing Your Account Size

Pick the account that gives you the most room for the least work.

Every account size comes with two numbers: the **profit target** you have to hit, and the **drawdown** you're allowed to lose. What matters isn't how big the account is, but how those two compare.

The ratio to check

Profit target ÷ drawdown.

The lower the number, the less profit you have to make for every dollar of room you're given. That makes the account easier to pass with the same edge.

My recommendation: 50K

The **50K account has the best profit target to drawdown ratio**, so that's the size I recommend.

It's also cheaper, which keeps your startup costs low while you build up to 2–3 accounts.

COMPARE BEFORE YOU BUY

Firms change their targets, drawdowns and prices often. Before you buy, check the current numbers for each size and work out the ratio yourself. The Prop Firm Hacking Tool then shows you the risk per trade and contract size for the account you choose.

KEEP YOUR RECORDS IN THE PROP TRACKER

A business keeps its books. Log every evaluation fee, activation fee and payout, and each account's drawdown floor, in the Prop Tracker. Then you always know your real net across all your accounts, not just how today went.

Prop Firm Hacking Tool

Your risk per trade and contract size, before you buy an evaluation.

maliktradesvp.github.io/prop-firm-tool.html

Prop Tracker

Every account's drawdown floor, rules and payouts in one place.

maliktradesvp.github.io/MalikTradesPropTracker

KEY TAKEAWAY

Choose the 50K for the best target to drawdown ratio, and keep every cost and payout on the books.

THE RULES

Intraday vs EOD Trailing

The two ways a trailing drawdown can follow you.

Intraday trailing

Your drawdown floor follows your **highest balance in real time**, including open profit while you're still in a trade.

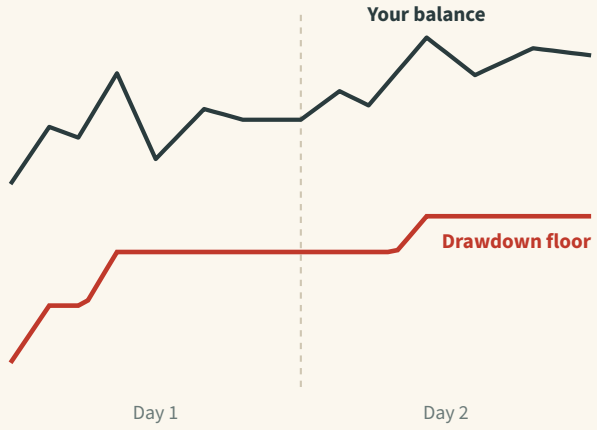
If a trade runs into profit and then comes back, the floor has already moved up and stays there.

End-of-day (EOD) trailing

Your drawdown floor only moves at the **end of the day**, based on your closing balance.

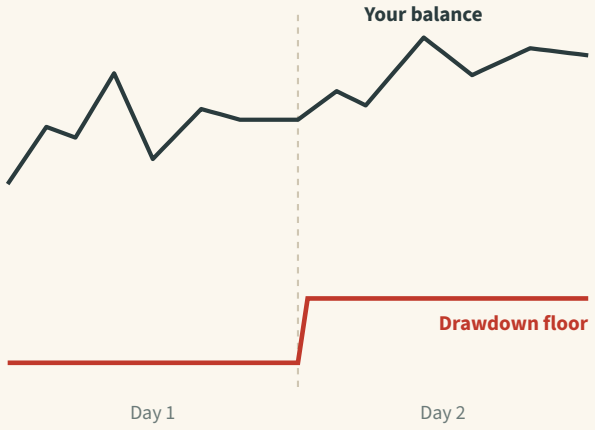
What happens inside a trade during the day doesn't move it.

INTRADAY TRAILING



The floor follows every new high, even open profit inside a trade.

END-OF-DAY (EOD) TRAILING



The floor only moves at the close, based on your closing balance.

WHY WE USE INTRADAY TRAILING

Intraday trailing is much cheaper than EOD. And it doesn't affect us much, because we're strictly taking small 1:1 moves: we're in and out quickly and don't sit in big open profits for the floor to chase. Breakeven at 75% (next page) covers the rest.

Many firms stop trailing once the floor reaches your starting balance. Rules differ by firm and by account type, so always read yours.

THE RULES

Protecting Every Account

Three rules, on every account, every session.

1

Breakeven at 75%

Once price is 75% of the way to your target, move your stop to breakeven. On an intraday trail, a winner that comes all the way back would leave you with a loss **and** a higher floor. Breakeven at 75% is what protects you from the trail.

2

A 1–2 loss cap per account, per session

That's your risk management. Once an account takes its 1 or 2 losses for the session, it's done until the next one. No revenge trades, and no single bad session can take an account out.

3

Size by stars, never by your last result

1★ is 1 contract, 2★ is 2 contracts, and 3★ is 2–3 contracts. Use the Prop Firm Hacking Tool to work out the right risk per trade for your account's rules before you start.

Prop Firm Hacking Tool

Your risk per trade and contract size, before you buy an evaluation.

maliktradesvp.github.io/prop-firm-tool.html

Prop Tracker

Every account's drawdown floor, rules and payouts in one place.

maliktradesvp.github.io/MalikTradesPropTracker

KEY TAKEAWAY

Breakeven at 75% protects you from the trail. The loss cap protects you from yourself.

GETTING PAID

From Passed to Payout

What happens after you pass, using an Apex 50K account as the example.

1 Pay the activation fee

Passing the evaluation isn't the last cost. Most firms charge an activation fee to turn a passed account into a funded one. Count it as a startup cost in your books, just like the evaluation fee.

2 Follow the consistency rule

Once you're funded, a consistency rule applies: no single day can make up too big a share of your profit. Our small, steady 1:1 trades fit this naturally. One huge day can actually hold up your payout.

3 Hit 5 winning days

You need a minimum of 5 winning days before you can request a payout.

4 Get above $52,100 for your first payout

On a 50K account, your balance must be above **$52,100** before your first payout. From there you can request as little as **$500**.

EVERY PAYOUT AFTER THE FIRST IS EASIER

The first payout is the hardest, because you have to build that buffer above $52,100 first. Once it's built, each payout after that only needs the winning days and the profit to withdraw, so they come much more easily.

These are Apex's rules for a 50K account as I trade it. Firms change their rules often, so always check the current ones for your firm and account size.

KEY TAKEAWAY

Pass, activate, build the buffer once, and then the payouts get easier.

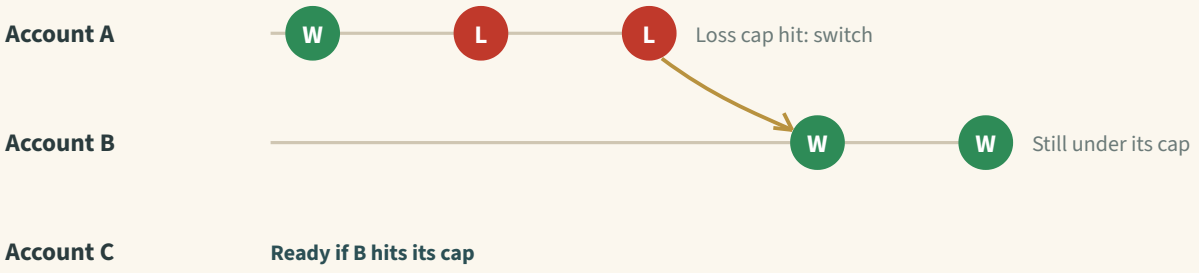
SCALING UP

Run 2–3 Accounts

Don't let your edge go to waste.

We get a lot of setups every day. With only one account, the loss cap ends your session early and every setup after that goes to waste. I recommend running **2–3 accounts at once**, so you can keep taking advantage of your edge.

CONCENTRATED: ONE ACCOUNT AT A TIME



Trade one account at a time. When it hits its loss cap, move to the next.

Don't copy-trade

Copying the same entry onto every account means one loss hits all of them at once. Instead, spread your trades across accounts with one of the two models on the next page.

Why it works

Your edge plays out over many trades. More accounts means more of your setups actually get taken, and one bad stretch on a single account doesn't stop the business.

KEY TAKEAWAY

Your edge only makes money on the setups you actually take. More accounts, more setups taken.

SCALING UP

Concentrated vs Round Robin

Two ways to spread your trades across accounts.

Concentrated

Trade one account until it hits its loss cap, then switch to the next (the diagram on the previous page).

Pros: your wins stack on one account, so it reaches the profit target faster.

Cons: a losing streak lands on one account, so that account swings much more and is more likely to blow.

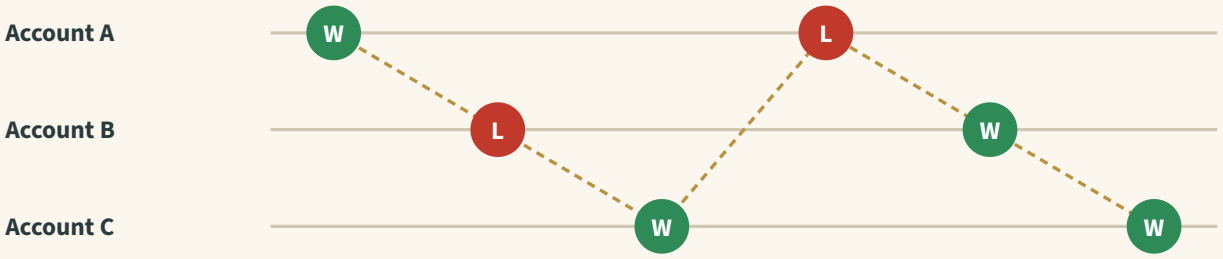
Round robin

Each trade goes on the next account in turn: A, then B, then C, then back to A.

Pros: wins and losses are spread across every account, so each one swings much less. Lower variance.

Cons: each account moves towards its target more slowly.

ROUND ROBIN: EACH TRADE GOES ON THE NEXT ACCOUNT



ACCOUNT	HOW TO RUN IT
Evaluations	**Concentrated.** The job is to pass, so let your wins stack and get through quickly. A blown evaluation is a startup cost.
Funded accounts	**Round robin, and play it more conservatively.** These are your revenue, so protect them. Rotating between accounts reduces the variance on each one.

KEY TAKEAWAY

Evaluations: concentrated, to pass fast. Funded accounts: round robin and more conservative, to protect your payouts.

THE MISTAKES

The Biggest Mistakes I See

And how a business owner would think about them instead.

Trading evaluations too conservatively

Tiny size makes an evaluation drag on for weeks, and you pay for that time while your edge sits unused. An evaluation is there to be passed. Size by stars as normal, and use the Hacking Tool to find a size that passes efficiently.

Getting attached to one evaluation

One account is not your business. When you treat a single evaluation as everything, you start trading scared, and that's when the mistakes come.

Blowing accounts is normal, as long as you're net positive. Here's what a good month can look like, even with half the accounts blown:

EXAMPLE MONTH	AMOUNT
4 evaluations bought	**−$200**
2 of them blown	**$0**
Activation fee for the passed account	**−$100**
1 payout from that account	**+$1,000**
Net for the month	**+$700**

Illustrative numbers only. Track your real costs and payouts in the Prop Tracker.

THE RIGHT MINDSET

Treat a blown account as a business expense. It's just the cost of doing business. Prop firm accounts aren't meant to be there forever: that's how they're designed. Your job isn't to keep one account alive. It's to stay net positive across all of them.

KEY TAKEAWAY

Blown accounts are a cost of doing business. Net positive across all your accounts is the only number that matters.

Education only, not financial advice. Trading futures, on your own capital or a prop firm's, involves risk.